Inside This Issue

Good Governance, Fiduciary Responsibility, and Captive Insurers

As privately held entities, captive insurers and Risk Retention Groups (RRGs) operate under a regulatory framework that differs meaningfully from that of traditional commercial insurers. For admitted carriers, regulators are primarily tasked with protecting policyholders and the broader public interest. By contrast, captives and RRGs are generally viewed as organizations whose risks are principally borne by their own stakeholders, resulting in a comparatively lighter regulatory framework.

This structure offers captive owners and boards considerable flexibility and autonomy. However, with that flexibility comes an increased responsibility to establish thoughtful governance practices and disciplined investment oversight.

In practice, many captives and RRGs are managed by highly capable professionals whose expertise may lie primarily in underwriting, operations, healthcare, manufacturing,

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Q1 Economic and Market Review

Equity Overview

After three consecutive calendar years of double digit returns for the S&P 500, Wall Street forecasters came into the new year with great optimism for continued strength in 2026. Paraphrasing former Goldman Sachs CEO Lloyd Blankfein from his recently released memoir, such forecasts are more for entertainment purposes than anything else. Good times increase expectations of more good times to come.

After an uneventful start to the year, volatility spiked and equity markets tumbled when hostilities broke out in the Middle East at the end of February. Suddenly, all the macroeconomic assumptions that went into the sanguine forecasts for the year had to be reevaluated.

Expectations of multiple rate cuts by the Federal Reserve became less certain as energy prices spiked and inflation forecasts were revised higher. U.S. and Global GDP forecasts had to be adjusted downward. What was presented as what was to be a short and decisive battle by the U.S. administration became more protracted, adding to uncertainty. Long-standing geopolitical alliances were also thrown into question.

At quarter end, the total return of the S P 500 Index had receded by 4.35%. Not a dramatic loss by any means, but not what the investing public had become used to for several years, and not what they were told to expect by the pundits.

Equity Outlook

Several elements of our portfolio positioning protected our equity clients from the brunt of the shocks during the quarter.

Our conservative positioning in the technology sector proved to be beneficial as the S&P 500

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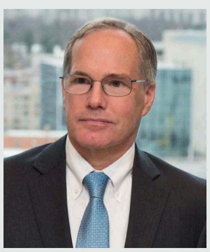
Q1 Economic and Market Review

Spencer Smith is Managing Director and Director of Equity Investments for ASB Investment Management. He also serves as Head of Institutional Equity Investments for Chevy Chase Trust, ASB's affiliate.

Prior to joining ASB/Chevy Chase Trust, Mr. Smith was Managing Director, Portfolio Manager and co-head of the Washington D.C. office of Fiduciary Trust Company International. Before that, Mr. Smith was an investment professional at Morgan Stanley, Emerging Markets Management LLC, and Riggs Investment Management Corporation.



Mike Stafford is a Managing Director of Investments for both ASB Investment Management and Chevy Chase Trust. He manages investment portfolios for institutional and high-net-worth clients.

Prior to joining Chevy Chase Trust and ASB, Mike served as Chief Investment Officer of The St. Paul's (now Travelers) life insurance subsidiary and has previous experience with Conning, Bank of America, Legg Mason, and First National Bank of Maryland. He has 25 years of experience managing portfolios.

Information Technology index retreated 9.13% during the quarter largely over fears of advancements in artificial intelligence encroaching on legacy enterprise software companies. We not only held a smaller portion of technology stocks than the S P 500 Index, but, in aggregate, the technology stocks we did hold performed better than those of the sector as a whole.

The partial government shutdown, which left TSA workers unpaid for several weeks resulting in long delays at security checkpoints, directly benefited one of our portfolio companies that specializes in helping to speed the security screening process. The company added hundreds of thousands of new customers during the period.

Finally, directly related to the energy shock resulting from the Mideast conflict, our overweight position in U.S. integrated energy producers benefited from the 74.87% spike in West Texas Intermediate crude oil prices during the quarter. We also own a company that provides nitrogen products for use in fertilizers. Natural gas is one of the primary inputs into the nitrogen production process, thus our U.S. based company, with access to cheap North American gas was put into an advantageous position over international peers that saw gas prices spike as their supplies from the Middle East were disrupted.

There are always elements of skill and luck in investment results over any time period, which was certainly true this quarter. Nevertheless, as our mission is to grow and preserve client assets, we are glad to have been able to accomplish that for our clients under the unique and volatile environment we faced in the first quarter of 2026.

Fixed Income Overview

In the first quarter coupon income failed to offset wider credit spreads and falling bond prices, resulting in uninspiring total returns that ranged between a slightly negative -0.05% for the Aggregate Index and a barely positive 0.11% total return for the Intermediate Aggregate.

Flattish total returns belie an eventful start to the year. Had we ventured to write in our last letter that the administration would soon be asking for Chinese support for our military operation, our dear readers would not have taken us seriously, and yet that is exactly what happened.

What may be even more amazing is that West Texas Intermediate Oil traded at $55 per barrel in mid-December and more than doubled to over $113 recently, and yet markets, albeit volatile, have not cratered. Investment grade bond spreads have widened about 10 basis points, equity markets are off by single digit percentages, and ten-year treasury yields have risen about ten basis points.

If truth is the first casualty of war, bond prices may be the second. Wars are inflationary, and typically lead to higher budget deficits, unproductive

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Q1 Economic and Market Review

spending, and capital destruction. Nevertheless, market corrections from geopolitical events are often less destructive to asset prices than financial events and recessions. For now, investors are looking past an Iran conflict they hope will be brief and focused on potentially more impactful macro trends.

Even amidst wider credit spreads, first quarter investment grade corporate bond issuance reached a record $657 billion across 306 issuers, a 16% increase over the prior record set in 1Q ’25. Eight transactions exceeded $10 billion, including debt issues for: Amazon, Oracle, Salesforce, Alphabet, Abbott Laboratories, Honeywell, Goldman Sachs, and Novartis. March 10th marked the single largest volume day ever, at $65.8 billion.

Fixed Income Outlook

One event that may surprise this quarter is leadership of the Federal Reserve. Jerome Powell’s term as Chair of the Fed expires May 15th, but his term as a member of the Federal Reserve Board of Governors does not expire until January 31, 2028. Senator Thom Tillis has vowed not to vote for any Fed nominee, including Trump’s pick to replace Powell as Chair, evin Warsh, until the Justice Department fully resolves the criminal investigation into Powell concerning renovations to the Fed’s Eccles Building.

The expiration of Powell’s term without a successor creates legal uncertainty. Historically, expiring chairs typically resign rather than continue to serve on the board. If his successor has not been nominated by the time his term as Chair expires, Powell will likely claim that the Fed can choose who is chair, as occurred in 1996 and 2022. Trump will likely contend that it is the President who chooses the next Fed Chair, as occurred in 1978. Before the end of the year, depending on how events play out, investors may perceive the process as both strengthening Fed independence, and yet at the same time, weakening any new Chair’s influence, including Trump’s pick Kevin Warsh.

> “Even amidst wider credit spreads, first quarter investment grade corporate bond issuance reached a record $657 billion across 306 issuers, a 16% increase over the prior record set in 1Q ’25.

One market maxim suggests, “who needs the Fed when you have the two-year ” Two-year Treasury yields have been a strong predictor of short-term overnight rates set by Fed policy. After the Iran War began on February 28th, two-year Treasury yields rose sixty basis points over the next three weeks and remain over thirty basis points higher than where they began the year. Consensus expectations for short rates have shifted from “the next move is an ease, as early as May” at the beginning of the year, to “no easing until late in the summer at best, and maybe the next move is a hike,” today.

Another economic event giving investors fits is the quick withdrawal from private credit, which we have long thought is an overpriced asset class. The sector has grown too fast, attracting too many investors who have not experienced the illiquid and economically sensitive nature of the investment through an economic downturn. Private credit assets have grown at an 18% compounded annual rate over the past nine years, from less than $600 billion in 2016 to over $2.5 trillion last year. This quarter, investors began to learn what the “private” in private credit means. Limited partners seeking withdrawals were cut short, as general partners exercised their ability to restrict distributions.

We are particularly concerned about risks which may lurk in life insurance annuity companies owned by private equity firms. Moody’s has reported that private credit constituted 18% of life insurance fixed income holdings at the end of 2024, and that as of mid-2025 private debt accounted for 23% of bonds bought that year by life insurers. As a result, we remain especially vigilant regarding credit evaluation. We are also working hard to uncover investment grade bonds that may offer a compelling opportunity to benefit from the ongoing turmoil.

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transportation, or other specialized industries rather than institutional investment management. As a result, investment governance frameworks often evolve gradually over time and may not always reflect the same level of institutional structure commonly seen in larger pension plans, endowments, or insurance organizations.

The Often-Unrecognized Cost of Governance Gaps

The consequences of less formalized governance structures are rarely dramatic or immediately visible. More commonly, they emerge gradually through:

- Missed income opportunities
- Less efficient portfolio construction
- Unintended risk concentrations
- Liquidity mismatches
- Reduced risk-adjusted returns over time

Because these effects tend to compound slowly and quietly, they can be difficult to identify without periodic independent review.

Importantly, this does not imply negligence or poor decision-making. In many cases, boards are operating in good faith but with very limited internal investment resources, relying on long-standing practices that may have developed when portfolios were smaller or less complex. As captive balance sheets grow and investment markets evolve, however, governance frameworks often benefit from periodic reassessment.

Institutional Investment Standards: A Useful Reference Point

Large institutional investors—including pension plans, endowments, foundations, and public funds—can provide a useful benchmark for governance practices. Across these organizations, approximately 80–90% utilize professional investment consultants or outsourced investment expertise.

These institutions recognize an important principle: while fiduciary responsibility remains with the board, fiduciary execution is often strengthened through specialized expertise, disciplined process, and independent oversight.

By incorporating institutional governance practices, organizations can often:

- Improve decision-making consistency
- Establish more repeatable investment processes
- Better align portfolios with liabilities and liquidity needs
- Enhance risk monitoring and reporting
- Strengthen fiduciary documentation and oversight

A disciplined and well-documented investment process is not simply a regulatory exercise—it is an important contributor to long-term financial outcomes.

Areas Commonly Worth Reviewing

Many captive insurers and RRGs already employ thoughtful investment practices.

"While fiduciary responsibility remains with the board, fiduciary execution is often strengthened through specialized expertise, disciplined process, and independent oversight."

Nevertheless, several areas frequently present opportunities for refinement as organizations mature:

1. Formalizing the Investment Process

In some cases, investment manager selection occurs before the organization has fully developed a comprehensive Investment Policy Statement (IPS) or long-term strategic asset allocation framework.

Institutional practice typically approaches this process in the reverse order:

1. Define objectives and constraints
2. Establish IPS and strategic asset allocation
3. Select managers appropriate for that structure

The IPS effectively serves as the architectural blueprint for the investment program and helps ensure that future decisions remain aligned with organizational objectives.

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2. Broadening the Manager Evaluation Process
Some organizations rely primarily on existing relationships or a relatively limited manager universe when evaluating investment options. While understandable, broader manager evaluation frameworks may improve the likelihood of identifying managers with stronger alignment to the organization's objectives, risk profile, and operational requirements.

3. Aligning Asset Allocation with Liability Structure
Many portfolios continue to utilize traditional allocations that may have become industry convention over time. However, the most effective asset allocation is often highly specific to an organization's:

- Liability duration
- Claims-paying patterns
- Liquidity requirements
- Regulatory framework
- Surplus position
- Risk tolerance and
- Growth rate

Academic research has consistently demonstrated that long-term portfolio outcomes are driven predominantly by strategic asset allocation decisions (70-90%) rather than manager selection alone.

4. Expanding Performance Evaluation Metrics
Investment performance is often reviewed primarily through nominal returns versus benchmarks. While important, institutional evaluation frameworks typically incorporate additional considerations such as:

- Risk-adjusted performance: Downside capture, Sharpe Ratio and other MPT statistics
- Peer-relative analysis
- Volatility
- Benchmark appropriateness
- Liquidity efficiency

These additional perspectives can provide a more complete understanding of how the portfolio is performing on a risk-adjusted basis as well as whether the investment program is effectively supporting the organization's long-term objectives.

> "Academic research has consistently demonstrated that long-term portfolio outcomes are driven predominantly by strategic asset allocation decisions (70-90%) rather than manager selection alone."

A Positive Industry Evolution

Encouragingly, the captive and RRG industry continues to evolve toward increasingly sophisticated governance practices. Industry observations and commentary within various regulatory and professional publications suggest growing recognition that investment governance can materially influence long-term financial outcomes.

This trend reflects a broader understanding that governance is not merely a compliance exercise, but an important component of enterprise risk management, capital efficiency, and financial stewardship.

CapVisor Conclusions

For captive insurers and RRGs, investment governance is ultimately about aligning assets with organizational objectives, liabilities, and long-term financial sustainability.

Strong governance frameworks do not eliminate market risk, nor do they guarantee superior outcomes. However, they can help organizations:

- Make more informed decisions
- Improve consistency and accountability
- Better manage risk
- Enhance long-term portfolio efficiency
- Strengthen fiduciary oversight

In short, effective governance helps boards and management teams navigate increasingly complex investment environments with greater confidence, structure, and discipline.

Perhaps most importantly, a disciplined governance framework can contribute approximately 115 basis points annually through improved portfolio construction and execution:

- Illiquidity Budgeting (~90 BPS): Experienced oversight enables boards to confidently allocate to less liquid asset classes, capturing the long-term illiquidity premium available in

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private markets[1].

- Disciplined Rebalancing (~15 BPS): Systematic rebalancing enforces counter-cyclical behavior and maintains target risk exposures, avoiding the performance drag associated with ad hoc or emotionally driven decisions[2].
- Resilience through Diversification (~10 BPS): Strategic allocation to low-correlation assets improves portfolio efficiency and reduces tail risk exposure[3].

As captive organizations continue to grow in size and sophistication, many are finding that adopting selected institutional investment practices can provide meaningful long-term benefits—not only in portfolio outcomes, but also in governance quality, operational resilience, and fiduciary effectiveness. ☐

All basis point estimates are illustrative and derived from a synthesis of industry research and practitioner experience. Actual results will vary based on market conditions, implementation quality, and governance effectiveness.

Footnotes:
[1] CFA Institute; Cambridge Associates. Research on private markets and illiquidity premia indicates that long-term investors can earn excess returns by accepting reduced liquidity, though outcomes vary by manager selection and vintage year.

[2] Vanguard. Best Practices for Portfolio Rebalancing. Vanguard research demonstrates that disciplined rebalancing can enhance risk-adjusted returns and enforce investment discipline over time.

[3] EDHEC-Risk Institute. Portfolio construction research highlighting the benefits of diversification across low-correlation asset classes in improving portfolio efficiency.

Arena's Thoughts on the "Golden Age"[1] of Private Credit

A Note from CapVisor Associates

Recent headlines have painted a troubling picture of the private credit market, and we want to address those concerns directly before you read the analysis that follows. A Wall Street Journal report published in May 2026 confirmed what many institutional observers had been noting for months: the extraordinary return environment that private credit firms enjoyed from 2020 through 2023 has come to a close. Firms such as Apollo, Blackstone, Blue Owl, Ares Capital, and Golub Capital have all reported declining returns, driven by a combination of Federal Reserve interest rate cuts compressing yields and a rise in defaults returning toward historical norms. Several publicly traded business development companies have marked down their net asset values, and some have trimmed dividends. Meanwhile, wealthy individual investors — drawn in during the boom years — have been attempting to redeem capital, intensifying anxiety in segments of the market that cater to private wealth channels.

At the core of the current turbulence is a structural problem that the analysis below articulates with unusual clarity: the largest private credit platforms grew by chasing scale through sponsor-backed direct lending, concentrating exposure in asset-light, high-multiple sectors — particularly software and SaaS businesses — at a moment when artificial intelligence is threatening to disrupt those very business models. Covenant protections eroded as competition intensified, leaving lenders with limited early warning and diminished negotiating leverage when borrower performance deteriorated. The result, increasingly visible in reported earnings, is a pattern of distressed exchanges, restructurings, and what the industry euphemistically calls “liquidity management exercises.” These are not isolated events; they reflect a systemic consequence of a decade of AUM-driven lending at compressed margins of safety.

It is important to understand that these stresses are concentrated among the largest generalist private credit platforms and their exposures to the most crowded, highest-multiple sectors. Arena Investors occupies a meaningfully different position. Arena’s focus on middle-market, non-sponsored, and specialty finance opportunities — across a deliberately diversified set of industries — reflects precisely the discipline that the broader

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Arena's Thoughts on the "Golden Age" of Private Credit

Dan Zwirn co-founded Arena Investors in 2015. With a mandate unconstrained by industry, product or geography, Arena manages approximately $4.4 billion of assets under management and programmatic capital as of June 1, 2025 with a team of more than 180 employees in offices globally.

Prior to Arena, between 2009 and 2015, Dan founded and/or led several specialty finance enterprises including Applied Data Finance (a consumer finance company), North Mill Capital (an asset-based lender), North Mill Equipment (an equipment lessor), and Lantern Endowment Partners (an investment fund).

market abandoned during its growth phase. The piece that follows, authored by Arena, provides a rigorous and candid examination of how the private credit market arrived at its current juncture. We share it because we believe it is among the more intellectually honest analyses of private credit we have seen, and because understanding the landscape clearly is the precondition for navigating it well. We encourage you to read it with that context in mind.

Blurred Lines

While leveraged loans do tend to be larger on an absolute basis, the assets in direct lending have skyrocketed, causing the two segments to converge. Global private credit assets have grown roughly five-fold since 2010 (over 30-fold since 2000) and now stand at over $2.2 trillion, with direct lending representing nearly half. Because private credit managers often use leverage, actual assets deployed are even larger (e.g., at $1 trillion and 2:1 leverage, that figure reaches $3 trillion). Within direct lending, private equity sponsor-backed lending represents nearly two-thirds of assets—contradicting the common assumption that direct lending is non-intermediated.

Non-sponsored lending is more complex and time intensive. While its returns are structurally superior for LPs, GPs scale far more efficiently by lending to multiple companies per sponsor. Only by aligning with sponsors have direct lenders grown so significantly—but this creates a structural conflict: the same sponsors sourcing deals are also the ones whose portfolio companies require leniency in amendments and restructurings.

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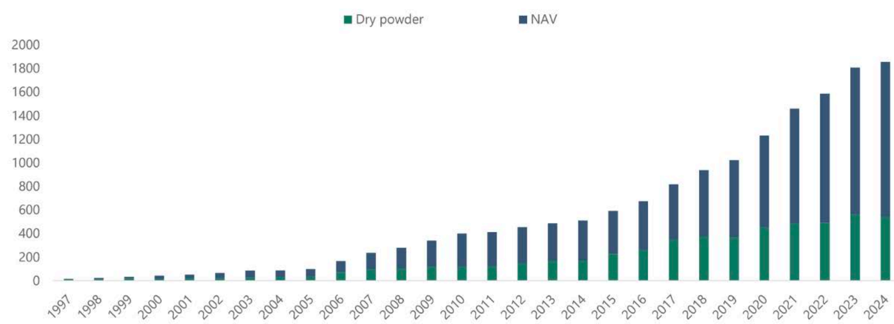
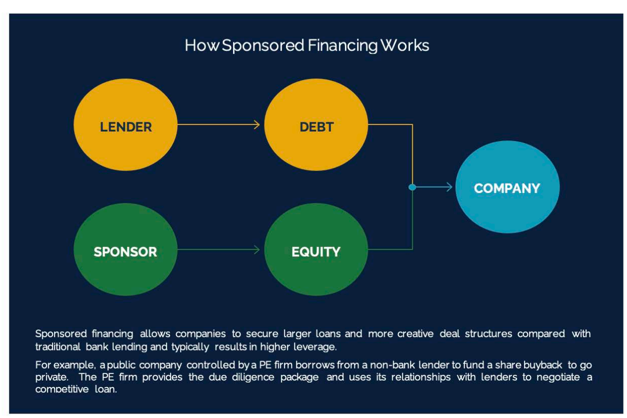


Global Private Debt Assets Under Management ('000 US$bn).

Source: https://www.apolloacademy.com/wp-content/uploads/2025/10/Private_Markets_100425.pdf



Source: https://www.brookfieldoaktree.com/sites/default/files/2023-05/Understanding-Private-Credit-Sponsored-Vs-Non-Sponsored-Financing.pdf

(1) Source: https://www.blackrock.com/us/financial-professionals/insights/the-growth-in-private-credit
(2) Source: https://www.spglobal.com/ratings/en/research/articles/231208-credit-trends-sponsor-diversity-can-mitigate-private-markets-risk-12940947

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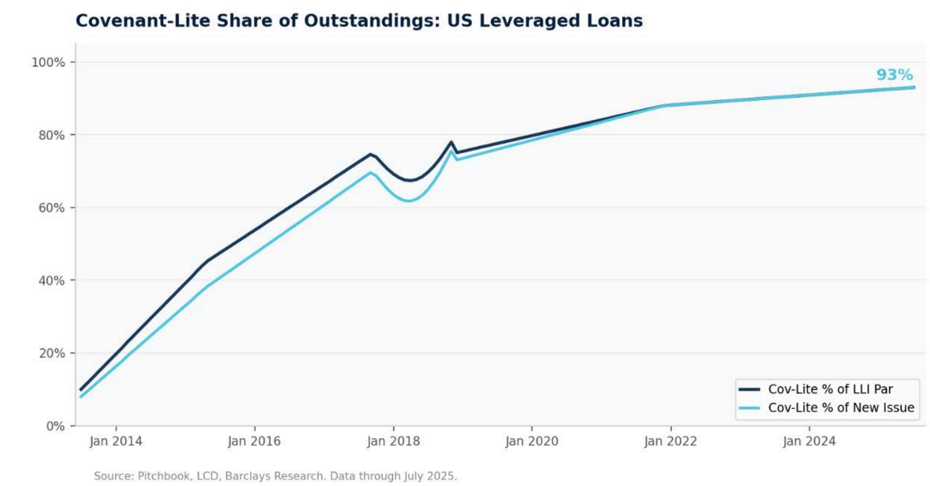

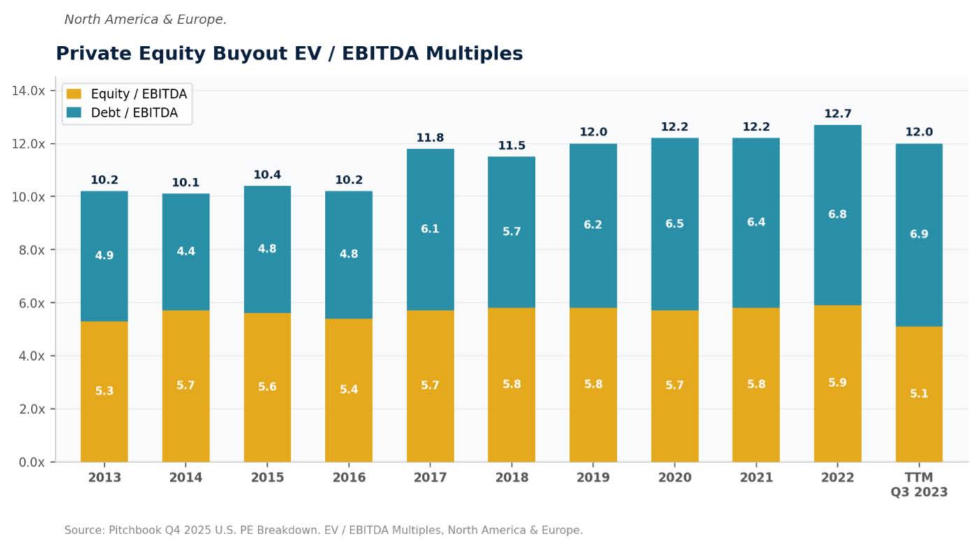

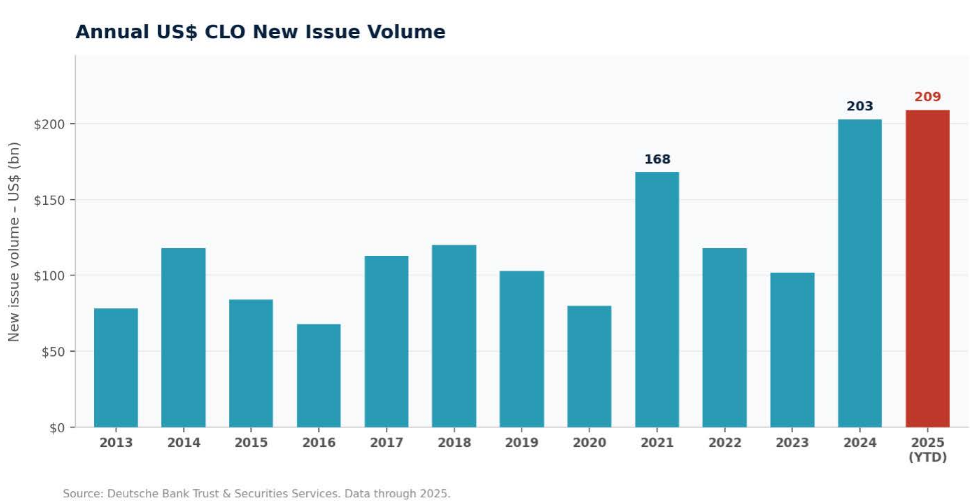

Covenant-lite loans now exceed 90% of the leveraged loan market and the trend has spread aggressively into direct lending. According to PitchBook | LCD, direct lenders have increasingly executed transactions on a covenant-lite basis for entities generating as little as $30 million in EBITDA. Borrowers have also benefited from PE firms' ability to borrow at 5x–6x for over a decade —versus 3.3x–4.4x in the early 2000s—figures further flattered by aggressive EBITDA add-backs.

With access to more capital, the amount PE firms have borrowed has been significant, at between 5x and 6x for over a decade versus 3.3x–4.4x in the early 2000s. Total buyout EV/EBITDA multiples have remained persistently elevated, as shown in the graph on the left.

The "Golden Nine Months" for Direct Lending

The credit market underwent a notable shift in late 2022 through mid-2023, presenting a brief window of attractive opportunity for direct lenders. The CLO market experienced a cooldown caused by cracks in loan performance, declining third-party CLO equity availability, and a large increase in AAA pricing due to rising interest rates. With leveraged lenders temporarily sidelined, direct lenders were able to extract better terms from borrowers.

However, this window closed quickly. CLO issuance rebounded forcefully (primarily through refinancings), with the first half of 2024 recording one of the highest

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refinancing volumes on record. Direct lending funds simultaneously continued to raise capital at a record pace.

Today's new investments are again resembling late 2021 dynamics—the market is once again awash in liquidity.

A Timely Illustration: SaaS and the AI Disruption

Recent market dislocations in software—specifically the mismanagement of retail investor expectations in the SaaS sector alongside legitimate fears about the stability of SaaS business models under threat from AI—have focused attention on a broader and pre-existing structural problem: companies across multiple asset-lite, high-cash-flow-conversion sectors have been purchased at excessively high cash flow multiples, and similarly over-lent to.

SaaS is simply one of several examples. Healthcare services and business services—also characterized by low capital intensity, predictable recurring revenues, and high EBITDA conversion—attracted the same PE playbook: pay a premium multiple, lever aggressively, apply creative EBITDA adjustments, and rely on permissive covenant structures to defer reckoning. The AI threat to SaaS unit economics is not the cause of the underlying problem, rather it is a catalyst that is revealing the problem. The real issue is that the margin of safety for lenders in these structures was never as wide as presented.

Further exacerbating risks from this AUM-driven frenzy to lend is not only the leverage multiples but also the absence of meaningful covenants. Without covenants, lenders have no early-warning system and no negotiating leverage when performance deteriorates. The result is an accelerating pattern of "liquidity management exercises," restructuring support agreements, and creditor-on-creditor violence—all forms of value extraction that occur precisely because lenders failed to preserve their structural rights at origination.

Further Myths

The attractiveness and perceived "safety" of direct lending is obfuscated in several ways:

"It is okay for me to lend at 6x if the company is being purchased at 12x."

Direct lending is regarded to earn a premium return through provision of liquidity, but without regard to the price being paid. Because PE firms are willing to pay more, there is a false comfort that "protection" is equivalent—even though the amount advanced is that much higher. An 18x post-tax free cash flow multiple (a reasonable conversion from 12x EBITDA) implies only a 5.6% annual yield. Against a 5% risk-free rate and a 400bps required premium for a middle-market business, fair value is closer to 11x post-tax FCF (roughly 7.4x EBITDA). At 6x leverage, true LTV is approximately 80%—not the 50% often presented. LTV does not equal LTC.

PITCHBOOK NEWS

Goldman Sachs garners $20B for private credit strategy, closes flagship fund

By Nishant Sharma
Date published: May 29, 2024

Goldman Sachs Alternatives has raised a total of more than $20 billion for its private credit strategy, including the biggest pool of capital so far for the firm's senior direct lending efforts.

Source: PitchBook News. Published May 29, 2024.

> **"The real issue is that the margin of safety for lenders in these structures was never as wide as presented.**

"Higher risk-free rates mean higher compensation, making direct lending more attractive."

Higher coupons mean a higher percentage of cash flow goes toward debt service. Lincoln International noted that the share of private credit borrowers with fixed charge coverage ratios below 1x rose from approximately 15% at the start of 2022 to 40% by end of 1Q2024[2]. Absolute compensation may be higher, but so is the underlying risk.

"Default rates are low, and that is reassuring."

Coverage ratios and default rates are the wrong metrics. The more effective measures are leverage and severity. By charging little interest and maintaining permissive covenants, lenders can keep defaults low while building enormous latent risk.

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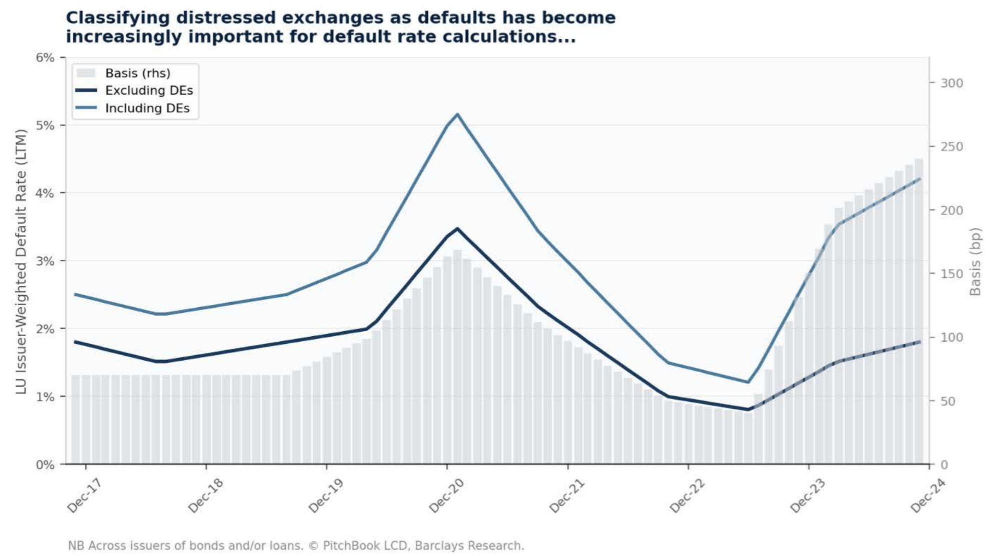
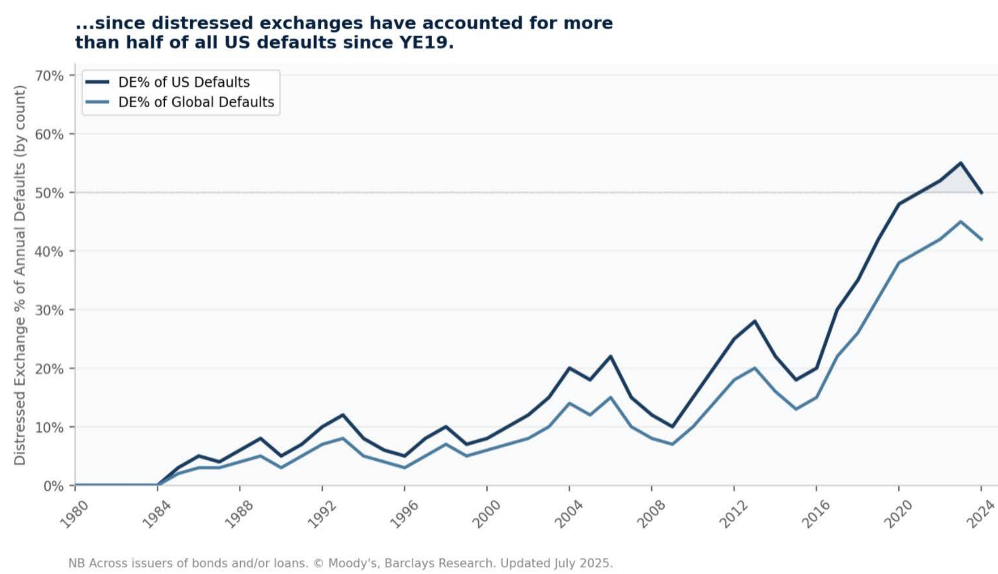
Arena's Thoughts on the "Golden Age" of Private Credit

Distressed exchanges—not traditional defaults—now account for more than half of all US defaults, obscuring the true picture (see graphs on the right).





There Are Opportunities Beyond Direct Lending

While generic direct lending represents little more than index exposure in a levitating market, there are attractive opportunities for investors willing to look beyond strategies fueling this GP "Golden Age."

In corporate cash flow–based lending, non-sponsored or lightly sponsored new-issue loans are compelling today, with smaller lenders and regional banks having retreated and larger sponsor-backed direct lenders largely inattentive to this segment. Meanwhile, the overleveraging of enterprises during the bubble is developing into a significant distressed investment opportunity. We are only at the beginning of this cycle.

Beyond US corporate lending, there are many attractive opportunities across specialty finance globally, including corporate asset-based and real estate financing. Many of these areas are not only higher-returning and lower-risk on an outright basis but are also diversifying and uncorrelated to direct lending—representing a diversifying "satellite" relative to the "core" market beta of direct lending exposure.

CapVisor Associates: Closing Perspective

We recognize that Arena's analysis is sobering — and intentionally so. The structural vulnerabilities it describes are real, concentrated among the largest platform lenders that built scale through sponsor-backed, covenant-lite direct lending in overpriced sectors. But these risks do not describe Arena's approach. Arena's middle-market orientation, avoidance of crowded sponsor-driven deals, and emphasis on structural protections and industry diversification are the deliberate inverse of the practices this analysis critiques.

CapVisor's continuing confidence in Arena reflects our view that they are well-positioned in precisely the areas of opportunity the market has overlooked. We share this material not to raise alarm, but because we believe

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Arena's Thoughts on the "Golden Age" of Private Credit

our clients are best served by an honest view of the landscape. Questions about how current conditions relate to your portfolio are always welcome. ☐

[1] This term is used synonymously to speak to the growth of assets in direct lending (benefit to GPs) and the attractiveness of the investments themselves (benefit to LPs). The two perspectives are negatively correlated: capital flooding a certain investment type makes it less attractive, all else equal.

[2] https://www.lincolninternational.com/perspectives/in-the-press/levfin-insights-u-s-private-credit-devil-in-the-default-details-amendments-lmes-mask-private-credit-default-rate-lincoln-data-show/

IMPORTANT DISCLOSURES
This document was prepared by Arena Investors, LP ("Arena"). The information set forth herein does not purport to be complete, is unaudited and subject to change without notice. Arena has no obligation to update or revise such information. Unless otherwise stated, the information contained herein is current as of the date of the presentation and/or the sources referenced. Certain information contained herein is based on or derived from information provided by independent third-party sources. Arena believes that such information is accurate and that the sources from which it has been obtained are reliable; however, it cannot guarantee the accuracy of such information and has not independently verified the accuracy or completeness of such information or the assumptions on which such information is based.

Upcoming Events

Debbie Leich is attending this year's Bermuda Captive Conference from June 1-3. Be sure to say hello!

We're headed to Vermont for what is sure to be another great VCIA Annual Conference on August 11-13. Carl Terzer and Travis Terzer are exhibiting - stop by our booth to connect!

Carl Terzer and Travis Terzer will be in South Carolina from September 28-30 for the SCCIA Annual Executive Educational Conference. We look forward to seeing you there.

Connect with CapVisor on LinkedIn. We share interesting investment information, research, and announcements.

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